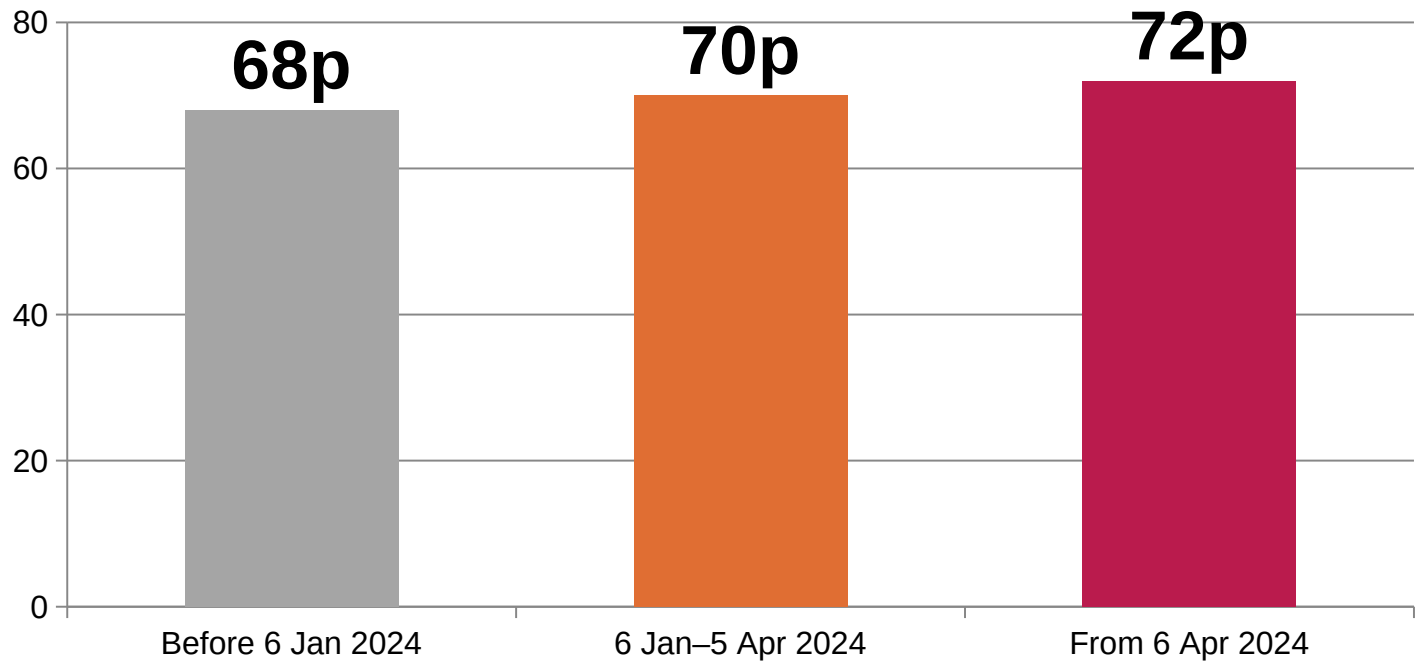
Tax incentives: a higher return from additional work

Marginal take-home pay per additional £1 earned



NICs main rate: 12% → 10% → 8%

Source: Author's calculations using HMRC (2024) rates. Assumes 20% income tax, main NICs band and no other deductions.

WORK INCENTIVES

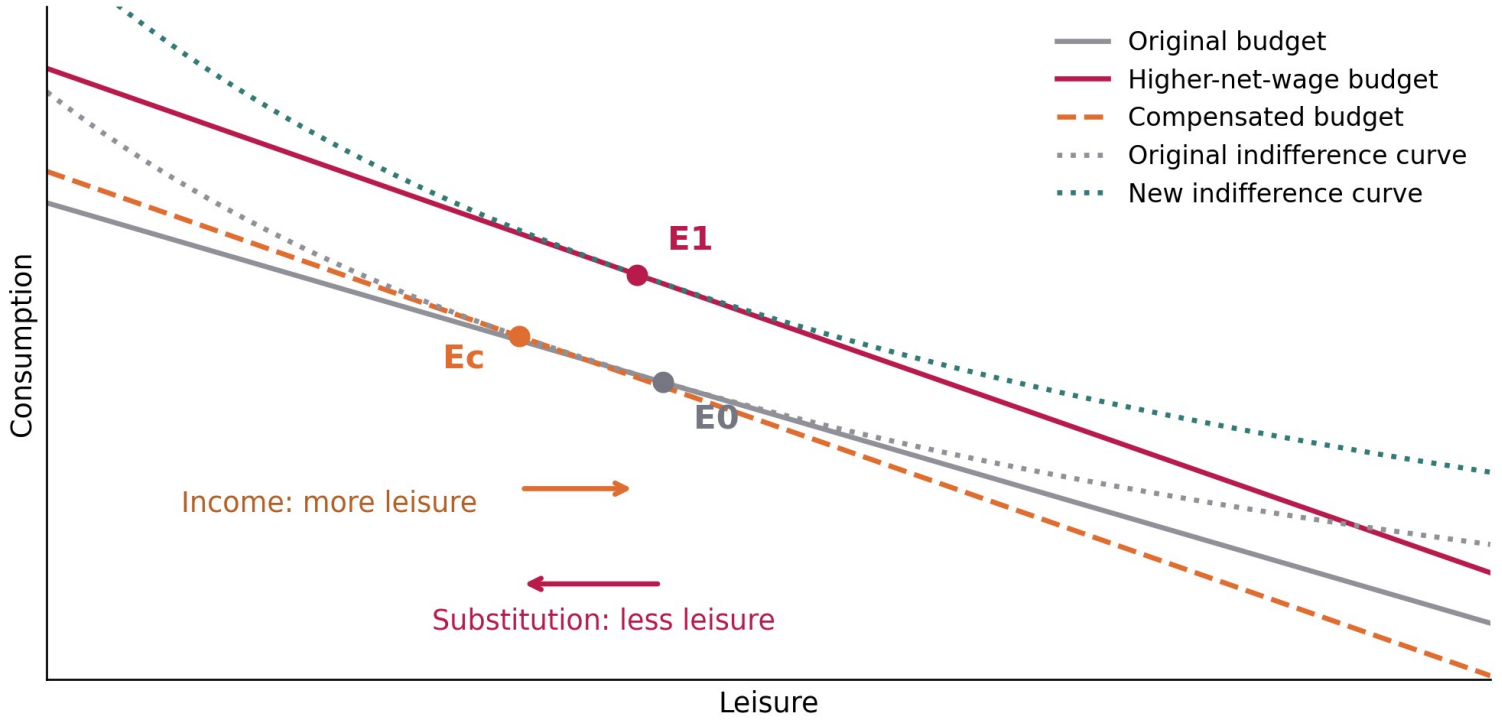
+5.9%

Combined increase in marginal take-home pay

(72 − 68) ÷ 68 × 100

Labour supply: substitution and income effects

How a higher net wage changes work–leisure choices



SUBSTITUTION EFFECT

Higher net wage → more work

INCOME EFFECT

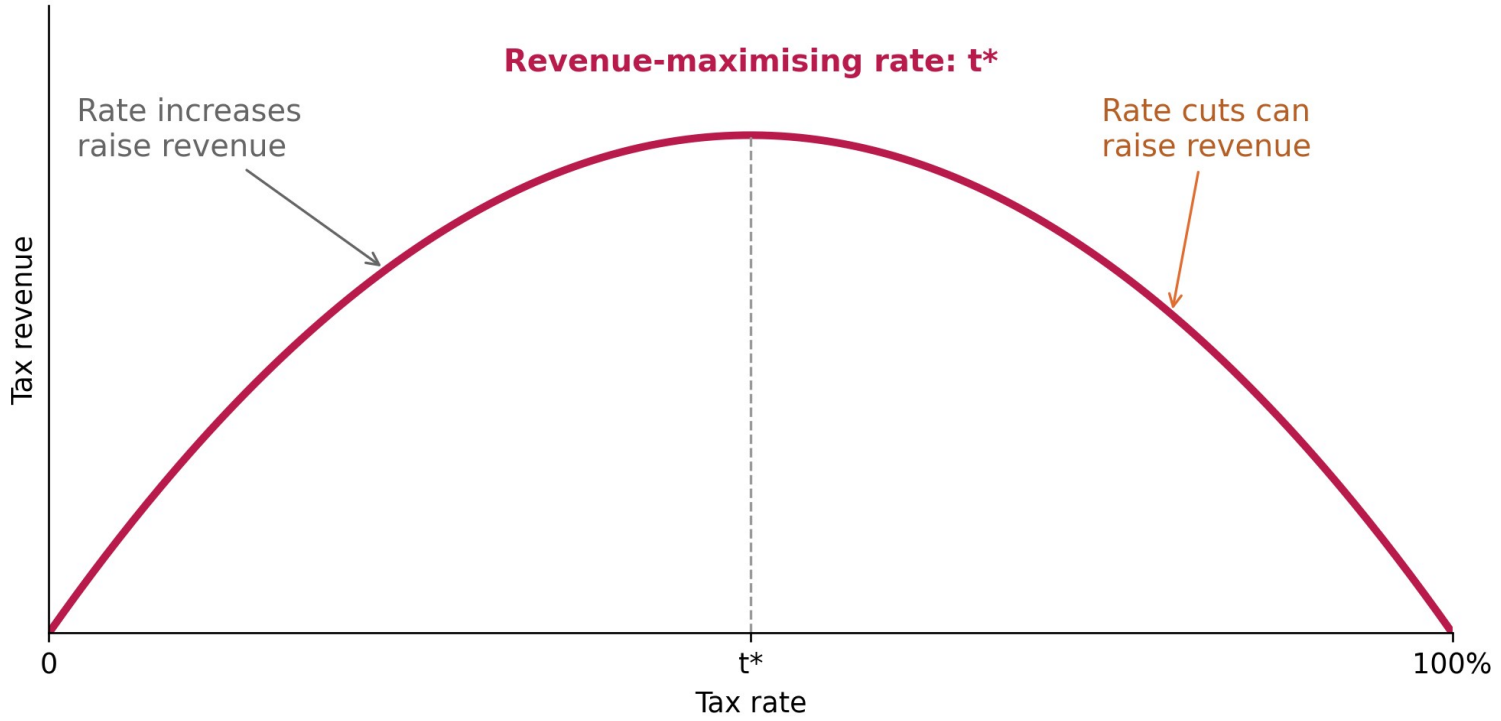
Higher income → more leisure

Participation in employment ≠ hours worked by existing employees

Source: Author's theoretical illustration based on Meghir and Phillips (2010).

Laffer curve: behavioural gains and fiscal effects

Tax revenue = tax rate × taxable base



OBR FORECAST

98,000 FTEs

Additional labour supply

≈20%

of static fiscal cost recovered

Stronger work incentives, supported by sustainable financing

Sources: Hemming and Kay (1980); OBR (2024), paras. 3.9–3.10. Diagram: theoretical illustration; OBR figures: forecasts.